shampoo, lotion, and all the other toiletry items that Gillette brought under its control. Buffett's Berkshire Hathaway has bought everything from candy stores to furniture stores to newspapers, with spectacular results. Then again, Buffett's company is devoted to acquisitions.

If a company must acquire something, I'd prefer it to be a related business, but acquisitions in general make me nervous. There's a strong tendency for companies that are flush with cash and feeling powerful to overpay for acquisitions, expect too much from them, and then mismanage them. I'd rather see a vigorous buyback of shares, which is the purest synergy of all.

BEWARE THE WHISPER STOCK

I get calls all the time from people who recommend solid companies for Magellan, and then, usually after they've lowered their voices as if to confide something personal, they add: "There's this great stock I want to tell you about. It's too small for your fund, but you ought to look at it for your own account. It's a fascinating idea, and it could be a big winner."

These are the longshots, also known as whisper stocks, and the whiz-bang stories. They probably reach your neighborhood about the same time they reach mine: the company that sells papaya juice derivative as a cure for slipped-disc pain (Smith Labs); jungle remedies in general; high-tech stuff; monoclonal antibodies extracted from cows (Bioresponse); various miracle additives; and energy breakthroughs that violate the laws of physics. Often the whisper companies are on the brink of solving the latest national problem: the oil shortage, drug addiction, AIDS. The solution is either (a) very imaginative, or (b) impressively complicated.

My favorite is KMS Industries, which, according to the 1980–82 annual reports, was engaged in "amorphous silicon photovoltaics," in 1984 was emphasizing the "video multiplexer" and "optical pins," by 1985 had settled on "material processing using chemically driven spherical implosions," and by 1986 was hard at work on the "inertial confinement fusion program," "laser-initiated shock compression," and "visual immunodiagnostic assays." The stock fell from $40 to $2½ during this period. Only an eight-for-one reverse split kept it from becoming a penny stock. Smith Labs fell from a high of $25 to $1.

I visited Bioresponse at its headquarters in San Francisco, after Bioresponse had first come to see me in Boston. There in an upper-floor office in a rather shabby section of San Francisco (this should be seen as a good sign) were the executives on one side of the hall, and the cows on the other. As I talked to the president and the accountant, technicians in lab coats were busily removing lymph from the animals. This was a low-cost alternative to removing lymph